

Table 23.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Up Breakout	Down Breakout
5 (breakeven)	46 or 13%	19 or 15%
10	44 or 26%	28 or 37%
15	32 or 35%	17 or 51%
20	34 or 44%	13 or 61%
25	25 or 52%	11 or 70%
30	23 or 58%	8 or 76%
35	26 or 66%	12 or 86%
50	35 or 75%	13 or 96%
75	34 or 85%	4 or 99%
Over 75	52 or 100%	1 or 100%

Table 23.3 shows how often the pattern fails. For example, 13% of diamonds in bull markets with upward breakouts fail to rise more than 5%. A total of 26% fail to rise more than 10%. One last example for downward breakouts: Half (51%) fail to see price drop more than 15% after the breakout.

Notice how quickly the failure rate increases for small changes in the maximum price rise or decline. Moving from a 5% max to a 10% one, failures double.

Table 23.4 shows breakout-related statistics.

Breakout direction. I don't know why, but the 74% of diamond bottoms breaking out upward fascinates me. Maybe I need to get out more.

Yearly position, performance. Where are the best performers located in the yearly high–low price range? Diamonds that perform best break out in the middle of the range. My guess is that additional samples would tilt the scale to the lower third of the range, but that's just a guess.

Throwbacks and pullbacks. Throwbacks and pullbacks—when price returns to the breakout price or diamond border within a month—occur over half the time.